

Oil & Gas Development Co

OGDC · Oil & Gas

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BUY

Current Price	Price Target	Upside Potential	Time Horizon	Confidence
PKR 215.50	PKR 240–265	+15.2%	Medium Term	7/10

EXECUTIVE SUMMARY

Strong value play. FCF yield 12 pct. Gas price revision Q3.

CATALYSTS

+ Gas price revision Q3

KEY RISKS

- Circular debt PKR 400bn

TECHNICAL ANALYSIS

Trend	Strength	Entry Zone	Stop Loss	Confidence
BULLISH	Moderate	PKR 208.00–218.00	PKR 195.00	7/10

Above 50-DMA and 200-DMA.

Key Price Levels

Support Levels	Resistance Levels
205.00 195.00	225.00 235.00

Technical Signals

Indicator	Reading	Interpretation
RSI	58	Neutral-bullish

FUNDAMENTAL ANALYSIS

Valuation	Financial Health	Growth Outlook	Moat	Confidence
UNDERVALUED	STRONG	MODERATE	WIDE	8/10

Trades at 5.2x PE vs 7.8x sector avg.

Estimated Fair Value: PKR 240 - PKR 270

STRENGTHS

+ Market leader

CONCERNS

- Circular debt

SENTIMENT ANALYSIS

Overall Sentiment	Score	News Volume	Confidence
BULLISH	6.5	MODERATE	6/10

Positive news around gas pricing.

Key Sentiment Drivers

* Gas price revision expected

POSITIVE CATALYSTS

+ Policy cut

NEGATIVE CATALYSTS

- Circular debt

RISK ASSESSMENT

Risk Level	Risk Score	Max Position	Stop Loss	Confidence
MEDIUM	5/10	8%	9%	7/10

Medium risk overall.

Identified Risk Factors

Factor	Severity	Detail
Circular debt	HIGH	Receivables PKR 400bn

INVESTMENT DEBATE: BULL vs BEAR

BULL: "Deeply undervalued with sector-leading returns."

BEAR: "Circular debt erodes cash flows."

BULL CASE

+ Valuation gap 5.2x vs 7.8x peers

BEAR CASE

- Receivables risk PKR 400bn stuck

DISCLAIMER

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